

**BAKER
HUGHES**

Rpt Date 23/Oct/2006			Well Name/No Bilabri D3			Section Name/No 12 1/4" hole #3			Mud System SYN-TEQ (PARA)								
Job# 1		Spud Date 04/Oct/2006			MD 2177.00 m			Progress 152.00 m			Present Activity Tripping						
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd			Contractor Rep Ally Tough / Terry Nanidis								
Field/Lease Bilabri			Blk/Co/Parish OML - 122 / Nigeria			Area Offshore			Country/State Nigeria			Rig BULFORD DOLPHIN					
Drilling Assembly						Casing			Volumes	Pump Information							
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4		HCC		PDC			19 1/2	166.20	Total Hole 1133.1	Continental Enasco FA-1600		6 1/2	12.00	97.0	0.1194	56	281
Drill Collars			Drill Pipe			20	18 3/4	199.58	1133.1	Continental Enasco FA-1600		6 1/2	12.00	97.0	0.1194	56	281
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	829.50	Active Pits 461	Continental Enasco FA-1600		6 1/2	12.00	97.0	0.1194	56	281
8 1/4	2.800	33.74	5	4.276	1705.63		12 1/4	2177.00	461								
8	2.800	46.73	5	3	158.56				Tot Active 1594.1								
									In Storage 449	Surface to Bit 0.0 min/0stks						Total System 49.1 min/8249stks	
									449	Bottoms Up 49.1 min/8249stks							
Mud Properties						Max Ann Velocity			Hole Information								
Property		1	2	3	4	AV Riser	58.14 ft/min	Standpipe Pressure 3170 psi		Water Depth 145.00 m							
Sample From		Reserve	Flow Line	Active Pit	Active Pit	AV Casing	159.95 ft/min	Hole Flow 843 USgal/min		Riser Booster Rate USgal/min							
Check Time		23:30	06:25	11:20	20:30	AV Open Hole	251.89 ft/min	Solids Analysis									
MD m		2090.00	2121.00	2179.00	2177.00	Vc Open Hole	438.24 ft/min	Property	1	2	3	4					
TVD m		2090.00	2120.00	2178.00	2177.00	Vc Drill Pipe	405.13 ft/min	LGS %	5.51	7.44	7.46	7.49					
Bit Depth m		2088.00	2118.00	2166.00	810.00	Min Ann Velocity		LGS lb/bbl	50.24	67.78	68.00	68.22					
Inc deg		0.55	0.81	0.81	0.81	AV Riser	58.14 ft/min	HGS %	6.53	5.51	5.53	5.55					
Density ppg		10.10	10.10	10.10	10.10	AV Casing	63.25 ft/min	HGS lb/bbl	96.17	81.04	81.37	81.70					
Funnel Visc. sec/quart		63.0	72.0	68.0	77.0	AV Open Hole	165.16 ft/min	Avg Dens Sol sg	3.4677	3.2806	3.2809	3.2812					
Circ BHTdegF			191.0	191.0		Bit Information											
Flow Line Temp degF			165.0	158.0	137.0	Size	12 1/4 in										
Test Temp degF		90.0	110.0	110.0	110.0	Hours On Bit											
Rheol Temp degF		120.0	120.0	120.0	120.0	Bit Number											
PV cP		22	30	28	26	BHA Number		5	Rheology								
YP lbf/100ft^2		22	25	24	29	Depth In		844.00 m	600 RPM	66	85	80	81				
10sec Gel lbf/100ft^2		10	18	17	18	Bit RPM			300 RPM	44	55	52	55				
10min Gel lbf/100ft^2		17	32	29	32	WOB		klbf	200 RPM	36	46	44	43				
HTHP Filtrate cc		4.0	2.8	3.2	3.2	Nozzles		7x16	100 RPM	26	34	32	31				

ADVANTAGE Daily Drilling Fluids Report - 23



INTEQ

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Operator Peak Petroleum Indust. Limited		Company Rep James Blackmon/Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Ally Tough / Terry Nanidis	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	10.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	3.0	2 x 210	5.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	20.0	3 x 175	15.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	20.0	3 x 175	15.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	20.0	3 x 200	15.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					50	0	

Volumes									
Additions bbl			Losses bbl			Total Volumes bbl			
Mud Added	Weight Materials	22.5	Downhole	32	Left In Pit	Starting Volume	2295.4	Riser w/o Pipe	201.4
Brine	Water		Cased Off		Trip Losses	Daily Additions	36.7	Casing w/o Pipe	346.8
Base Fluid	Product	8.2	Left In Hole		Injected	Daily Losses	288	Open Hole w/o Pipe	644.5
Recycled	Other		Discharged		Spill To Environment	Ending Volume	2044.1	String Displacement	59.6
			SCE	50	Onshore Disposal	Net Change	-251.3	String Capacity	106.0
			Evaporation	22	Returned			Total Hole w/ Pipe	1133.1
			Other Losses	166				Total Active	1594.1
								Total Reserve	449.0

IADC Hours									
Drilling Formation			10.5	Circulate			3.5	Tripping	
10									

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	16080.12	Daily Product Cost	0.00	Primary Product	422993.23
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	28181.25
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	16980.12	Total Daily Cost	0.00	Primary Total	451174.48
Total Inventory Value	382417.12	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	389817 lb

Products and Services											
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Oil Based Product											
CALCIUM CHLORIDE (97%)	25 kg	200						200	6.26	6.84	
CARBO-GEL	50 lb	155					5	150	1.75	2.96	
MIL-LIME	25 kg	140					20	120	4.82	4.00	
OMNI-COTE	55 USgal	4						4			
OMNI-MUL	55 USgal	28					2	26	1.88	0.88	
OMNI-PLEX	55 USgal	24						24	0.41		
OMNI-TEC	55 USgal	15					2	13	1.60	0.93	
PARA-TEQ	1 bbl	649					6	643			
Water Based Product											
BLACK MAGIC SF T	25 kg	120						120			
CAUSTIC SODA	25 kg	32						32			
MIL-BAR	1000 kg	71					15	56	23.22	8.99	
SAW DUST	25 kg	29						29			
Xanthan Gum	25 kg	47						47			
LCM											
CALCIUM CARBONATE - FINE	25 kg	100					20	80	1.83		
CALCIUM CARBONATE - MED	25 kg	120						120	0.81		
KWIKSEAL - MEDIUM	25 kg	35						35			
MIL-PLUG FINE	25 kg	84						84			
MIL-SEAL MEDIUM	25 kg	60						60			
SOLUFLAKE F	50 lb	80						80			
SOLUFLAKE M	50 lb	80						80			

BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost		Cumulative Cost		Inventory Value		Page 2	
Waboso Peter / Olayinka 'Kunle		234-803-402-0440		Onne		234-84-462609		Lawson Ogaree		16980.12 USD		451174.48 USD		382417.12 USD			

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.